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Read less news

Happy Saturday, Pro Briefers!

This week we've identified a Wall Street Shift: Rising tariffs and hopes of "taking back the Panama Canal" in the U.S. have led to increased investment into supply chain infrastructure from Wall Street.

Let's take a look at how investors may be able to track this growing opportunity.

In March 2025, BlackRock (BLK) invested \$23 billion into acquiring shipping ports, including 43 in the Panama Canal.

What's going on? During his first speech as president, Trump said he wanted the U.S. to take back control of the Panama Canal.

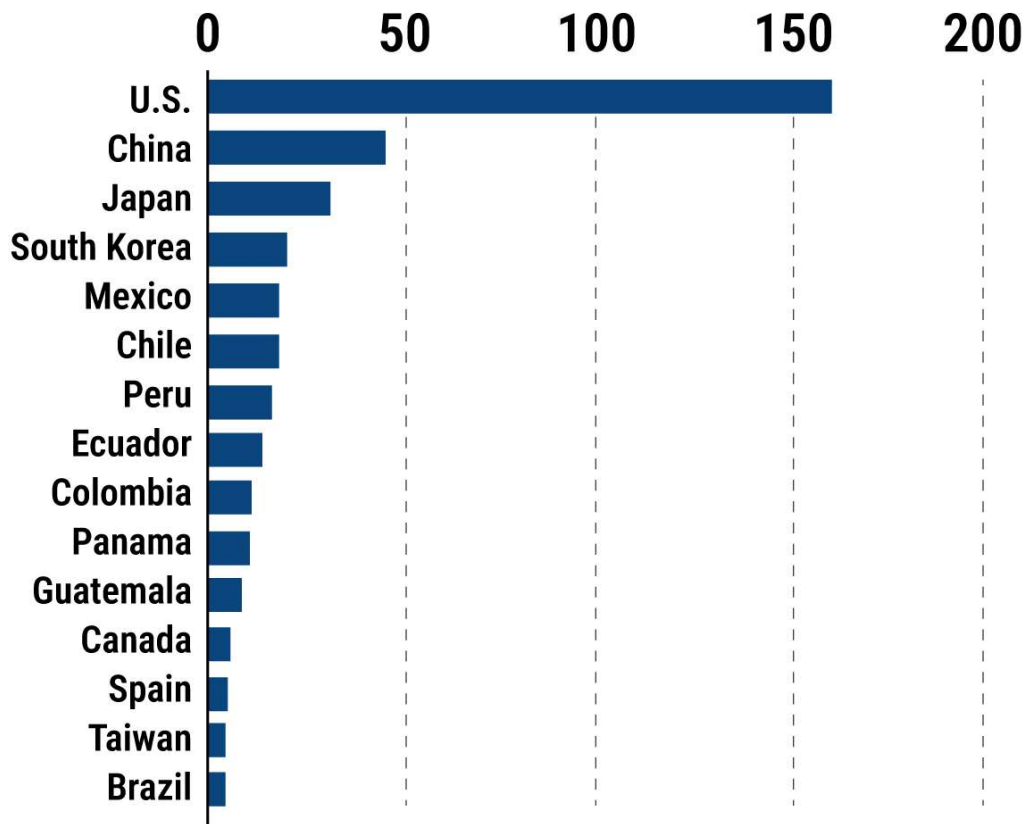
- On April 9th, 2025, the U.S. The Department of Defense signed a security agreement with Panama, allowing U.S. military ships to be stationed there.

The Panama Canal is one of the world's most important shipping routes. About 5% of all global shipments go through it.

- \$270 billion worth of goods goes through the Canal each year.

Top 15 Countries/Regions Shipping Cargo Through Panama Canal

(Fiscal 2024, In Millions Of Long Tons)



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Data via Nikkei Asia

And it's not just the Panama Canal.

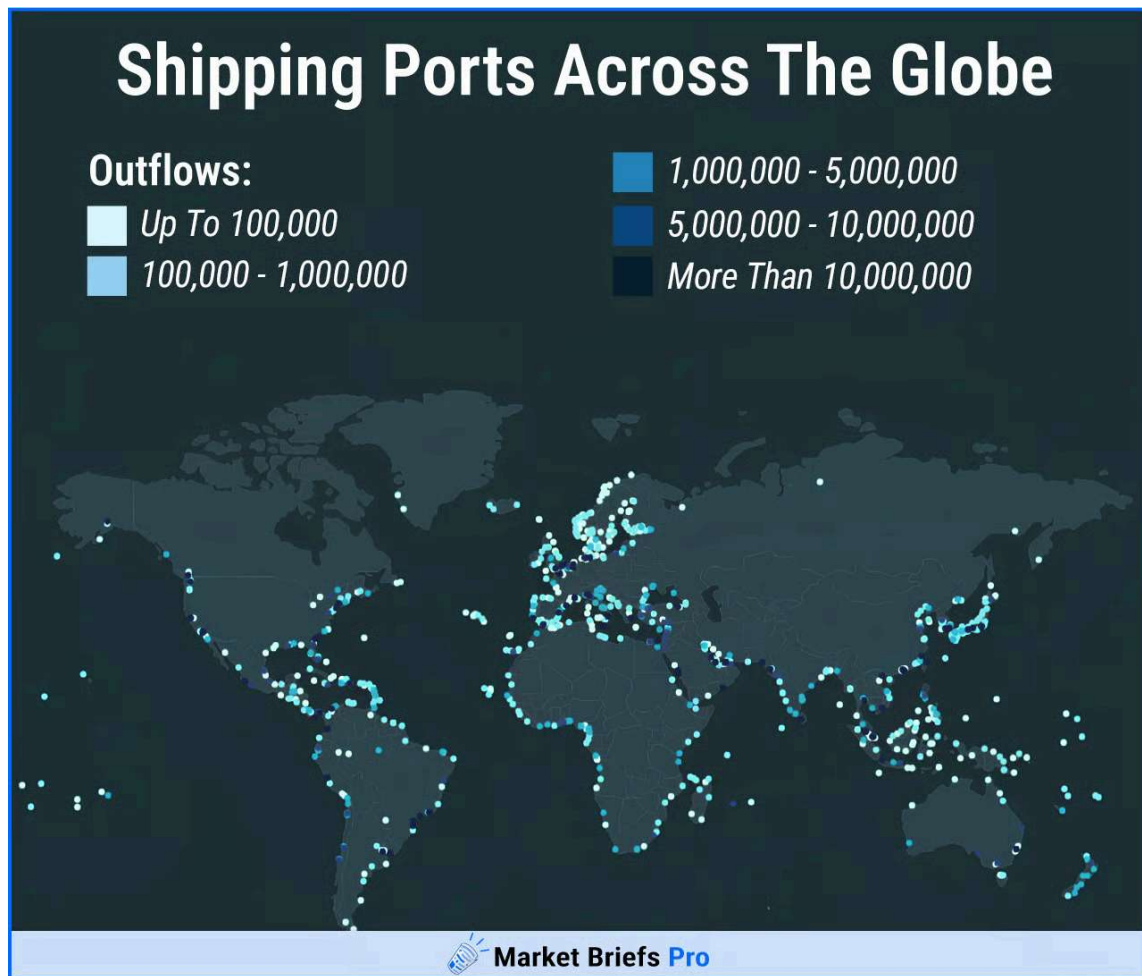
Tariffs from the Trump administration are shifting which trade routes businesses use, as they try to avoid higher import costs.

Our Market Analysts sat down with George Carrillo, the CEO of the Hispanic Construction Council in an exclusive interview to learn more about the future of trade and port infrastructure.

According to George, these tariffs have created what he calls a 'whiplash' for businesses:

"One day they're on, the next day they're off, and then all of a sudden, the percentage goes up and it drops. And so, [businesses] don't know what to believe in this environment."

However, businesses may be able to lower the impacts of these tariffs by using new trade routes.



Data [via](#) Texas A&M

"When we look at these alternative ports and these alternative opportunities, it does provide an opportunity for Americans to go into a foreign country and to be able to invest and really be able to prop up their economies and be able to bring products here to the United States at a much much lower price point." - George Carrillo.

To create these routes, Wall Street firms like BlackRock, State Street (STT), and Vanguard are increasing their investment into port infrastructure, industrial real estate, and communications.

Why? As ports improve and new shipping paths form, different businesses will be needed to support them.

Let's show how investors can find opportunities.

Have some feedback? Let us know your thoughts on this Shift by responding directly to this email!

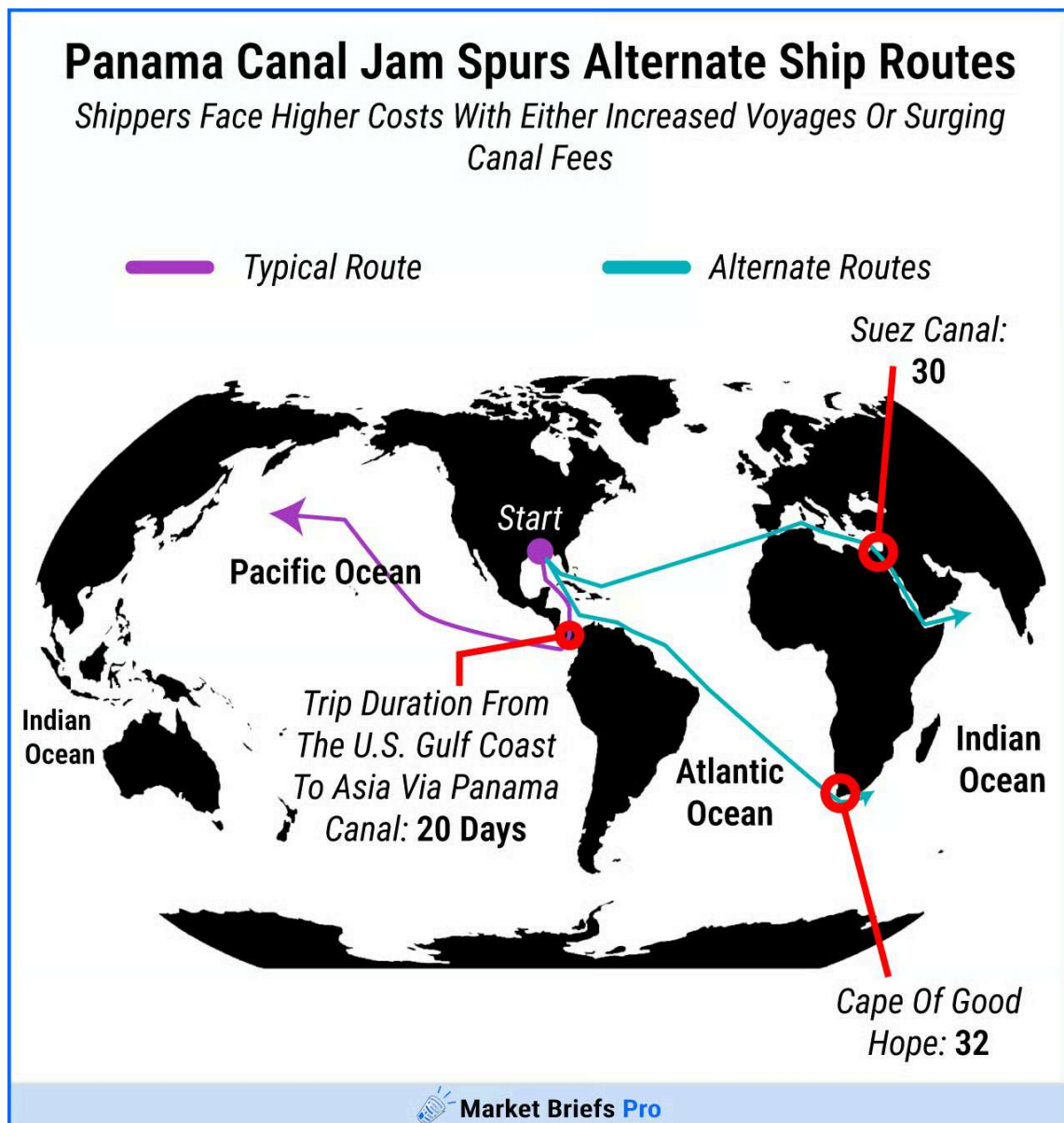
Port Upgrades

Many ports around the world, including the Panama Canal, are outdated and inefficient.

Why does it matter? *Wait times are increasing.*

As of March 2025, it takes an average of 36 days to just enter the Panama Canal, where it takes another 8-10 hours to sail through it.

- That's up from 20 days in 2022.



Data [via Bloomberg](#)

Delays = increased costs for businesses.

Every day a ship waits, a business loses money.

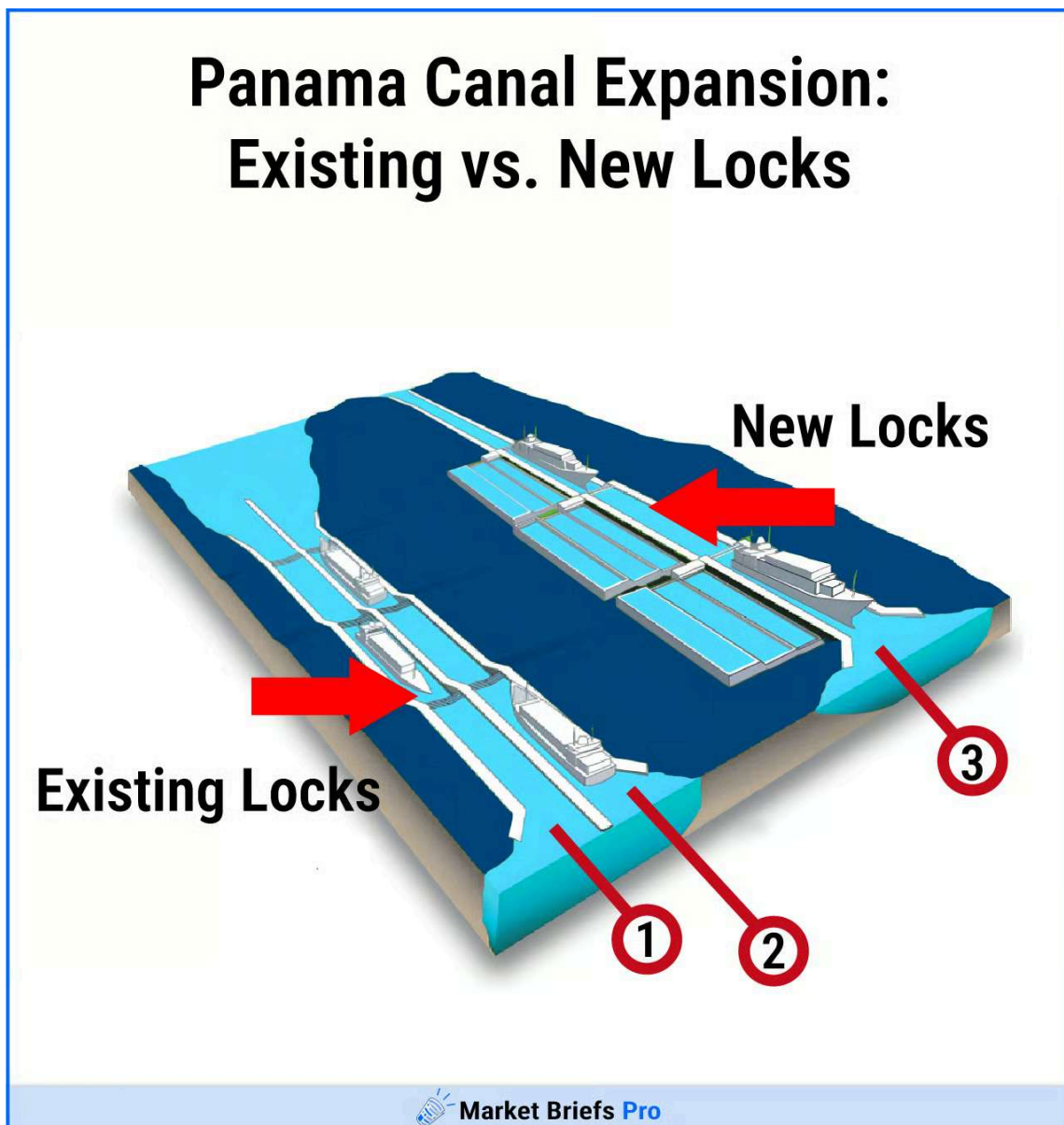
The bottom line: The Panama Canal, along with other major ports, need to be upgraded.

- The upgrades will widen the canal to fit more ships.

In our interview with George, he reaffirmed the opportunities in global port upgrades:

"With these expansions, ports of entry need a massive amount of concrete. But also we use a lot of rebar in construction. When we think about commercial buildings, again, those are more steel reinforced."

BlackRock and others are now increasing their investment into the companies who may benefit from these infrastructure upgrades.

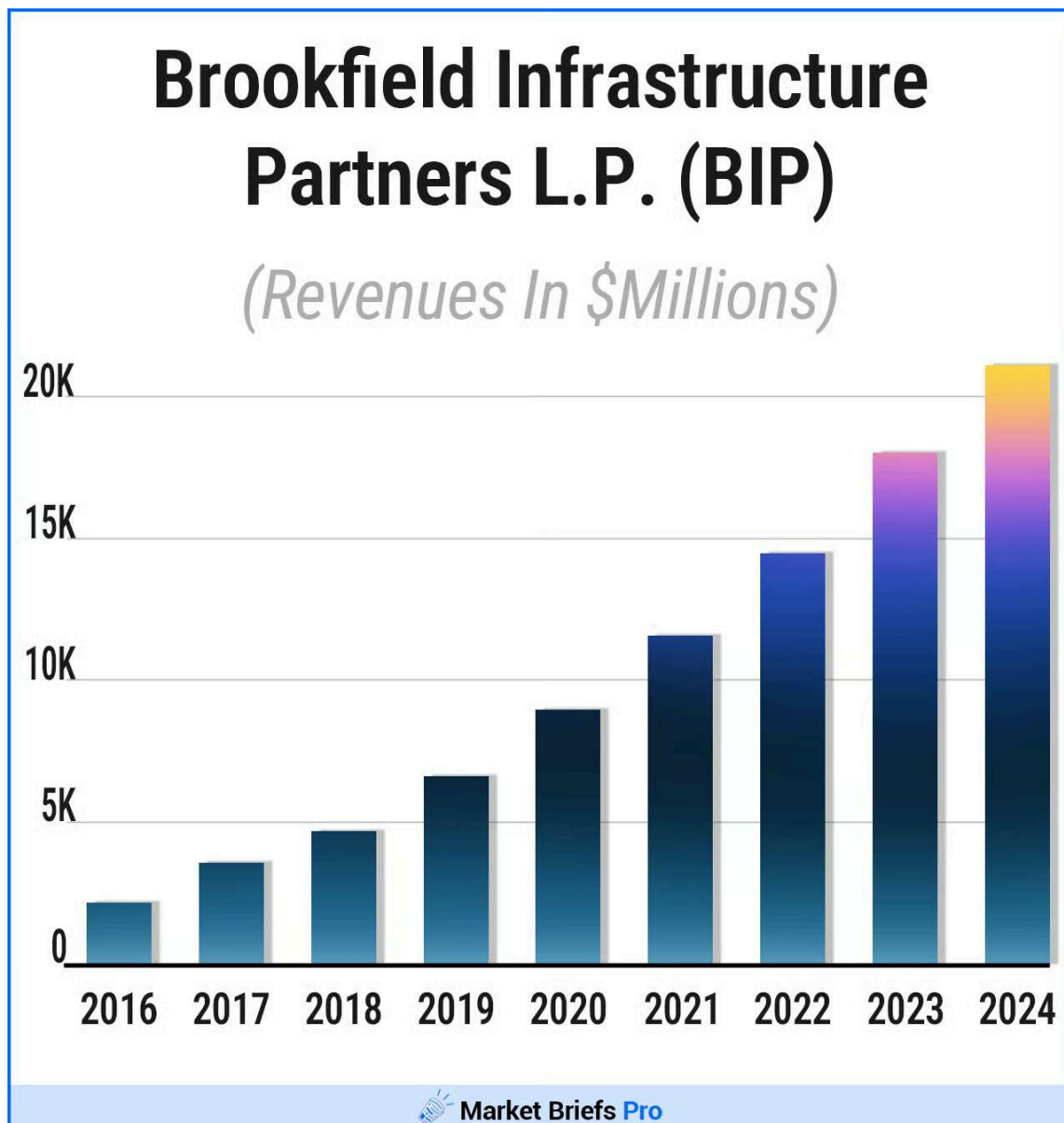


Data via Marine Log

One of those infrastructure development companies is Brookfield Infrastructure Partners (BIP), who is a major operator of global ports.

As of today, BlackRock owns just over 5% of Brookfield, making it the company's third largest shareholder.

- 74% of the company is owned by other institutional investors.



Data [via](#) company reports

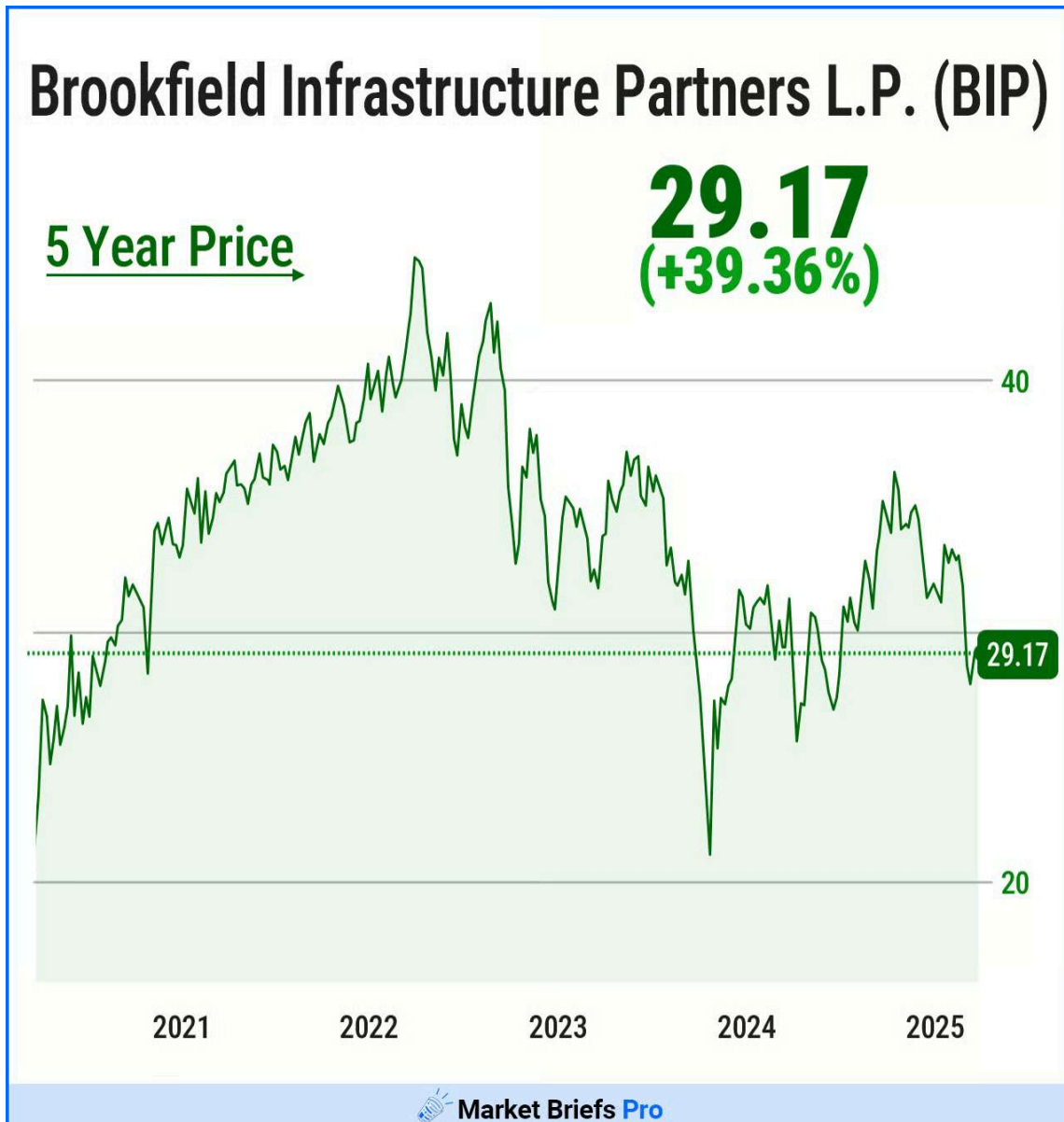
Brookfield Infrastructure Partners specializes in transport infrastructure, and is already working to upgrade natural gas pipelines and electrical units at 15 ports worldwide.

What else? Brookfield even owns PD Ports, one of the largest port operators in the U.K.

More directly, BlackRock has stated that many of its ports located in the Panama Canal will now be operated by Brookfield, allowing it to directly benefit from this shift.

- Brookfield's annual revenue jumped from \$17.9 billion in 2023, to over \$21 billion in 2024.

And at the ports Brookfield currently operates, profit margins have increased by 50% over the last decade, due to its efficient operating measures and introduction of automation.



Data [via](#) Yahoo! Finance

More efficient ships can also reduce wait times at ports.

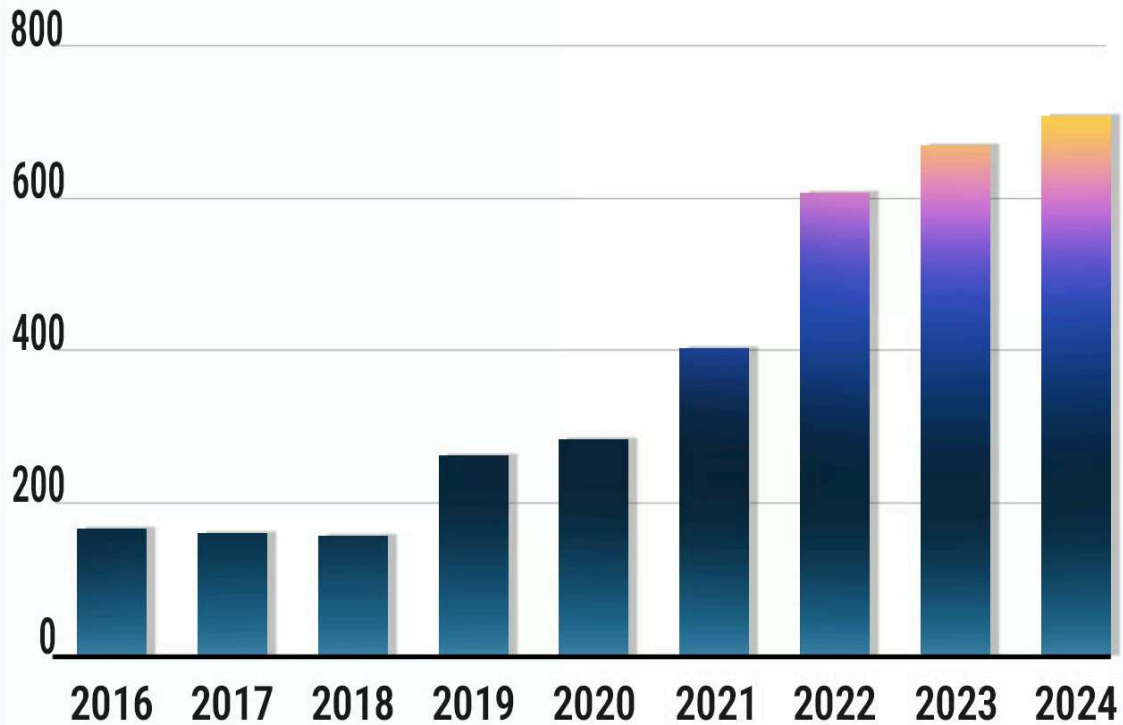
Fact: The Panama Canal has seen fewer ships entering its ports in recent years.

How does this relate? Ports are upgrading to handle smaller, more efficient ships.

Global Ship Lease (GSL) specializes in renting out small to mid-sized ships, and is one of largest ship leasing companies in the world.

Global Ship Lease, Inc. (GSL)

(Revenues In \$Millions)



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Data via company reports

In total, the company has 71 container ships for rent and purchased four more vessels in January, 2025.

Institutional investors own roughly 57% of Global Ship Lease as of March 2025, up from 52% in 2022.

- Morgan Stanley (MS) is one of the largest public institutional owners of Global Ship Lease, owning almost 2% of the company.

Its ships have flexible capacity - meaning they can typically hold more than other container ships, even though they're smaller.

- While fewer ships have been passing through the Panama Canal, each ship has been carrying more weight over time.

This gives it an edge against other carriers, as smaller ships need less resources to function, making them more efficient.

Global Ship Lease, Inc. (GSL)

5 Year Price →

23.68
(+777.04%)



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Data [via](#) Yahoo! Finance

They can pass through ports more quickly, helping reduce wait times at busy hubs like the Panama Canal.

In 2024, Global Ship Lease increased its revenue by 7% to \$705 million, almost double what it earned in 2021.

That's largely due to growing demand for high-efficiency ships.

REAL ESTATE

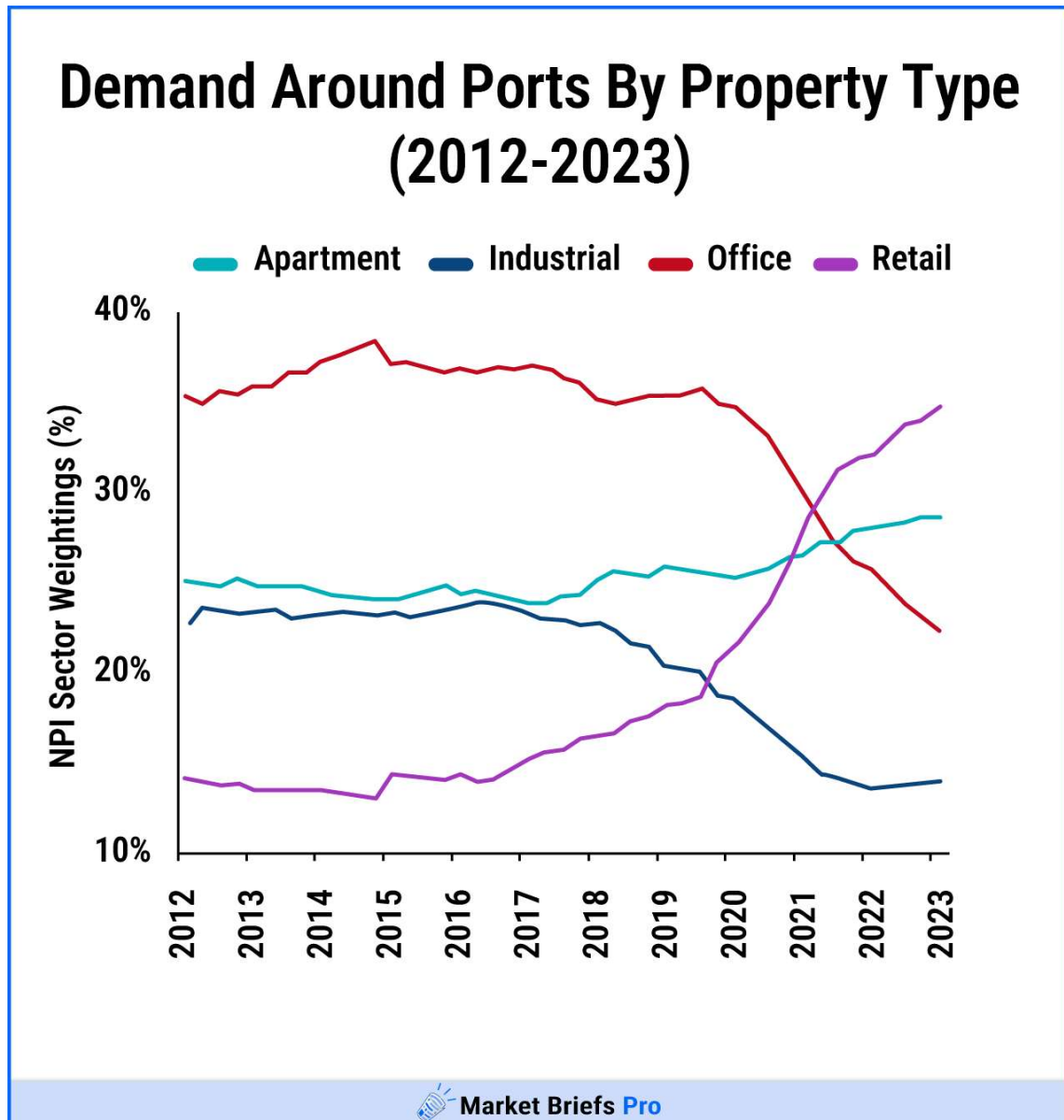
Land Demand

With shipping rerouting, new ports will need to be built on industrial real estate throughout the world.

- Port sizes can range from a few hundred thousand square feet to well over one million.

Ports need a variety of infrastructure like warehouses, container storage, and more.

Wall Street is now increasing its investment into land and real estate around current ports and areas that could one day become ports.



Data [via](#) Clarion Partners

"This is a domino effect of what we need in order to be able to support, for example, our ports. So, all things to take into consideration as we're thinking about the supporting elements to our ports." - George Carrillo

How much? In October 2024, BlackRock bought Global Infrastructure Partners for \$12.5 billion, giving it access to thousands of acres of industrial real estate globally.

As of 2024, Wall Street owns \$3.5 trillion in industrial real estate globally, an increase from \$1.2 trillion in 2022.

- Datex Corporation estimates that building on industrial land near the Panama Canal will grow by 3.4% each year, mainly for warehouses.

Shipping companies will need this land to increase port infrastructure, leading to opportunities from real estate firms like Prologis (PLD).



Data via Yahoo! Finance

Quick note: Prologis is a REIT, meaning it owns and manages real estate.

This means when investors buy shares in the company, they're also getting exposure to the portfolio of real estate Prologis owns and operates.

It is one of the largest owners of industrial buildings and real estate in the U.S., alongside Blackstone (BX), a Wall Street investment institution.

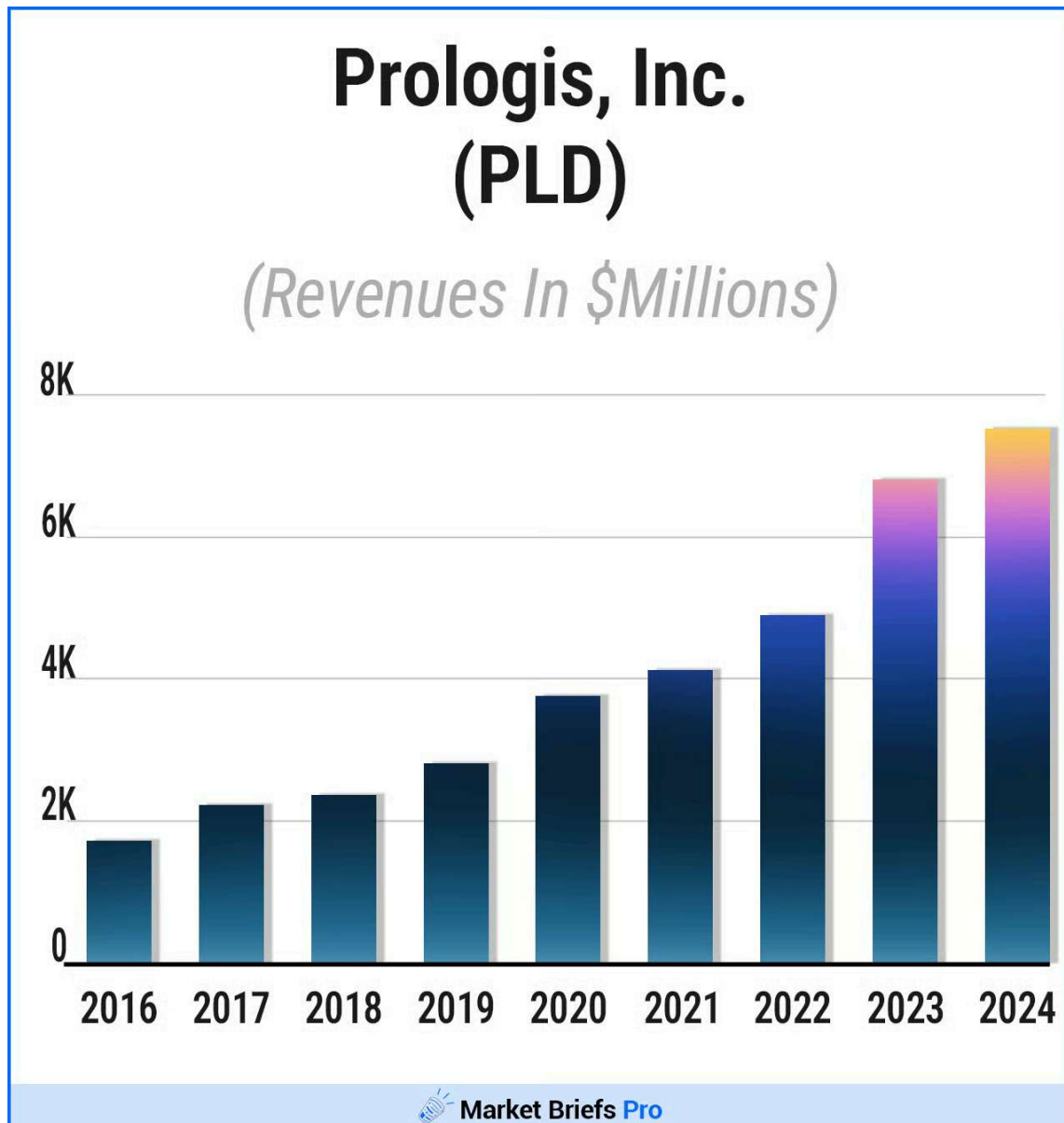
Prologis itself has seen a huge influx of institutional investment in recent years - 93% of the company is owned by firms like Vanguard, State Street, and BlackRock.

- In 2022, institutional investors owned 80% of Prologis.

Not only does Prologis own around 4 billion square feet of real estate in the U.S., it also helps companies to operate the space as a manager.

The Council on Foreign Relations estimates that countries like China, Vietnam, and Thailand, will see the most port growth and industrial investment over the next decade.

Because Prologis is focused on high-growth markets, it's also expanding its operations in those markets, as it plans to establish a logistics campus in Vietnam.



Data [via](#) company reports

Prologis and its investors may benefit as this high-demand real estate is leased and sold to shipping companies.

- Another REIT that offers investors broad exposure to global industrial real estate would be First Industrial Realty Trust Inc. (FR).

First Industrial Realty Trust also owns over 1 million square feet of industrial real estate.

First Industrial Realty Trust, Inc. (FR)

5 Year Price →

55.10
(+83.31%)



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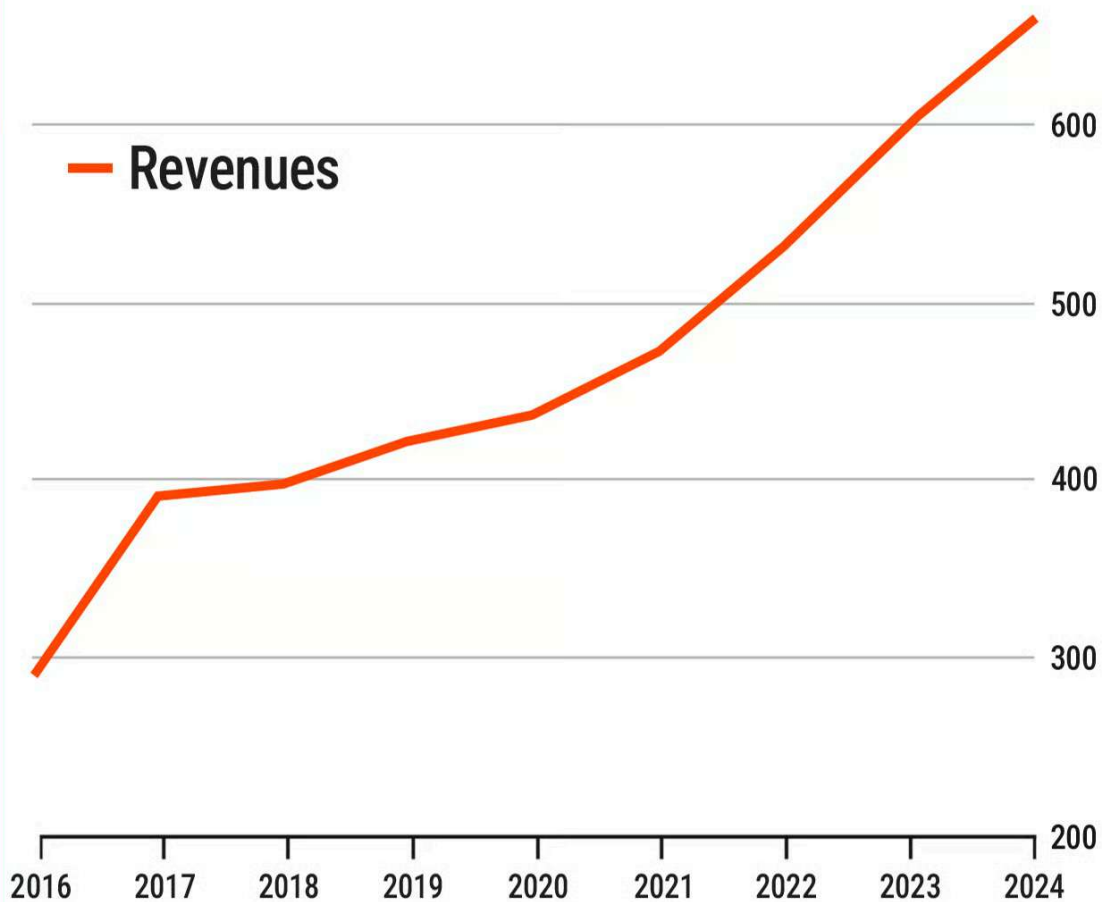
Data [via](#) Yahoo! Finance

And while it's not specifically real estate that can be used for ports, it may still benefit.

How? First Industrial Realty Trust owns industrial real estate that is the middle ground between ports and stores.

So, as importing shifts due to tariffs, First Industrial Realty Trust has the advantage of being one of the largest owners of warehousing and other storage real estate in the world.

First Industrial Realty Trust, Inc (FR)



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Data [via](#) company reports

COMMUNICATION

Sending Signals

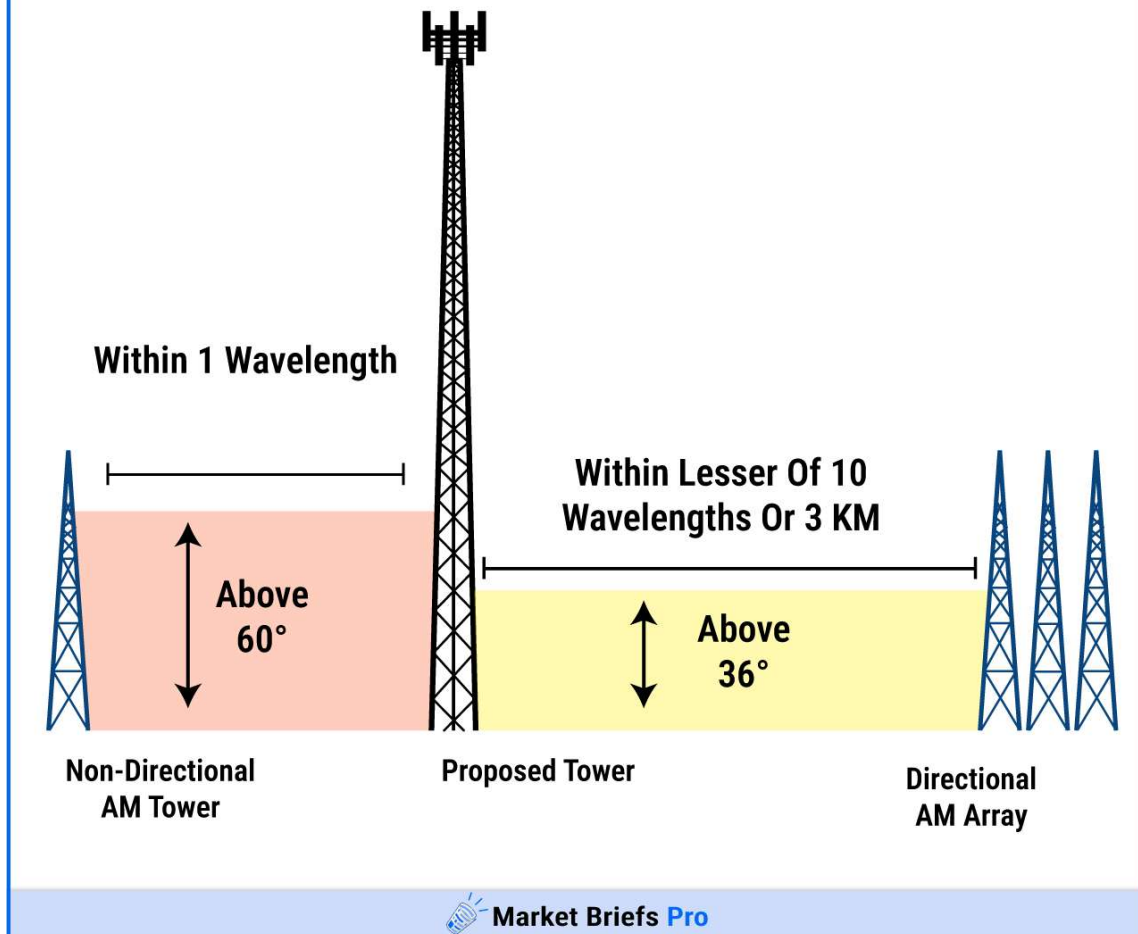
Ports are just one stop on the global trade route - ships then need to be guided along their route so they can reach their final destination.

- They use high-tech radars and communication tools to stay safe and navigate efficiently.

The problem? New trade routes do not have the communication infrastructure they need yet.

Namely, communication towers that can transmit directions to a ship miles away.

AM Radio Distance Parameters



Data via LBA Group

These towers will need to be built along new shipping routes. That's why Wall Street is investing more in communication tower companies.

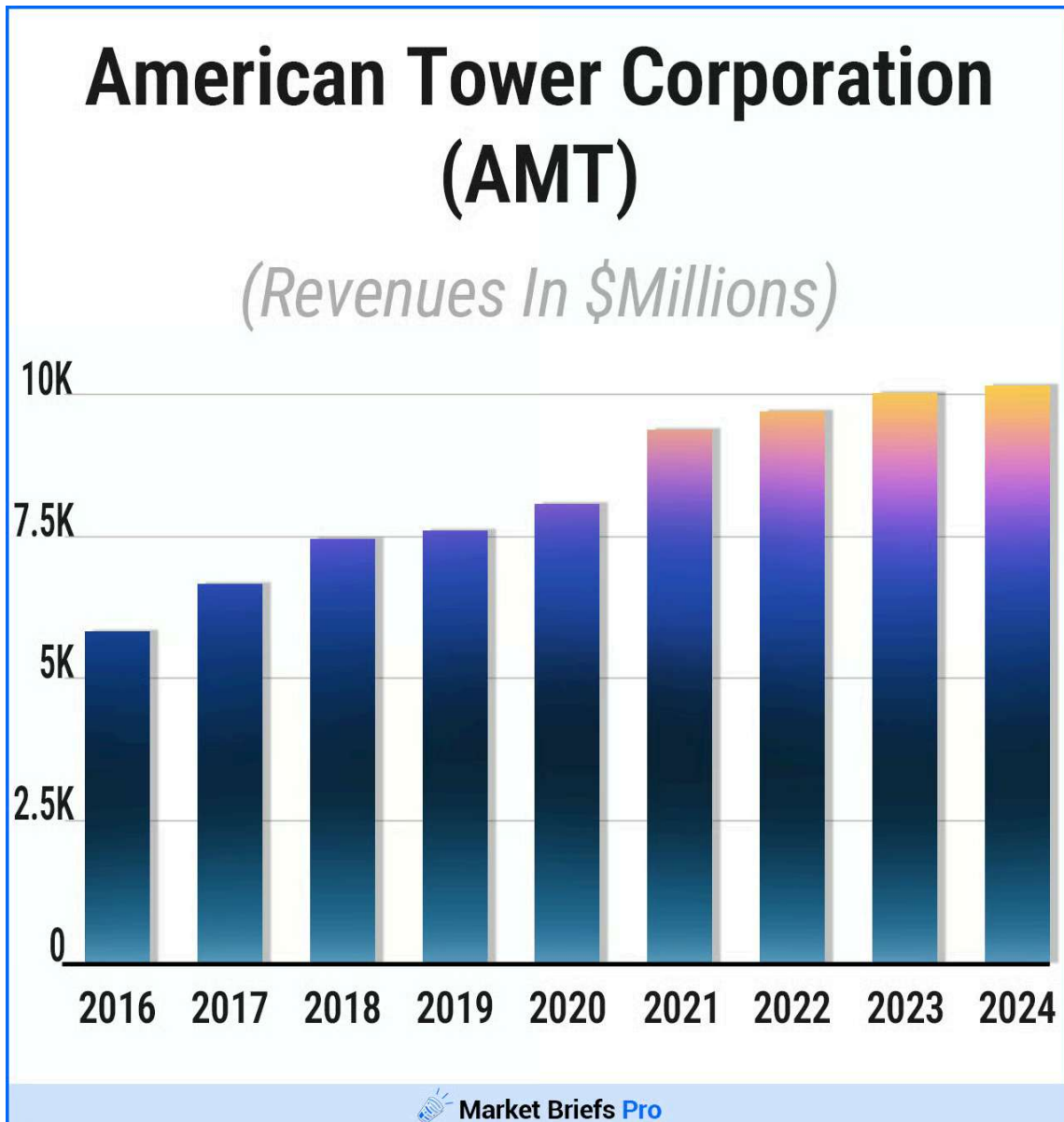
- Communication towers are vital in the Panama Canal, as they help operators know when to open the locks, and how much to raise or lower water levels.

We spoke to George about the technological upgrades ports will need to make due to this shift as well,

"Technology is constantly evolving. We really have to look at our ports and be able to say, 'okay, do they have the right infrastructure when it comes to technology?'"

One of those companies is American Tower Corporation (AMT) - a leader in communication tower infrastructure in the U.S.

What does it do? When you send a text or make a call, that data is sent to a communication tower.



Data [via](#) company reports

However, many companies like AT&T (T), Verizon (VZ), and T-Mobile (TMUS) do not own their own communication towers - they lease them from a company like American Tower Corporation.

As a result, American Tower Corporation owns and operates 33% of all communication towers in the U.S.

- It has 43,000 towers across the country.

But globally, the company has even more towers and real estate - its total portfolio includes 149,000 communication sites in major shipping countries like South Africa, China, and more.

Just over 94% of the company is now owned by institutional investors as well. In 2020, institutional investors owned around 80% of the company.

American Tower Corporation (AMT)

213.03
(+1.93%)

5 Year Price →



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Data [via](#) Yahoo! Finance

American Tower Corporation brought in over \$10 billion in revenue last year and has more than doubled its revenue in the last decade.

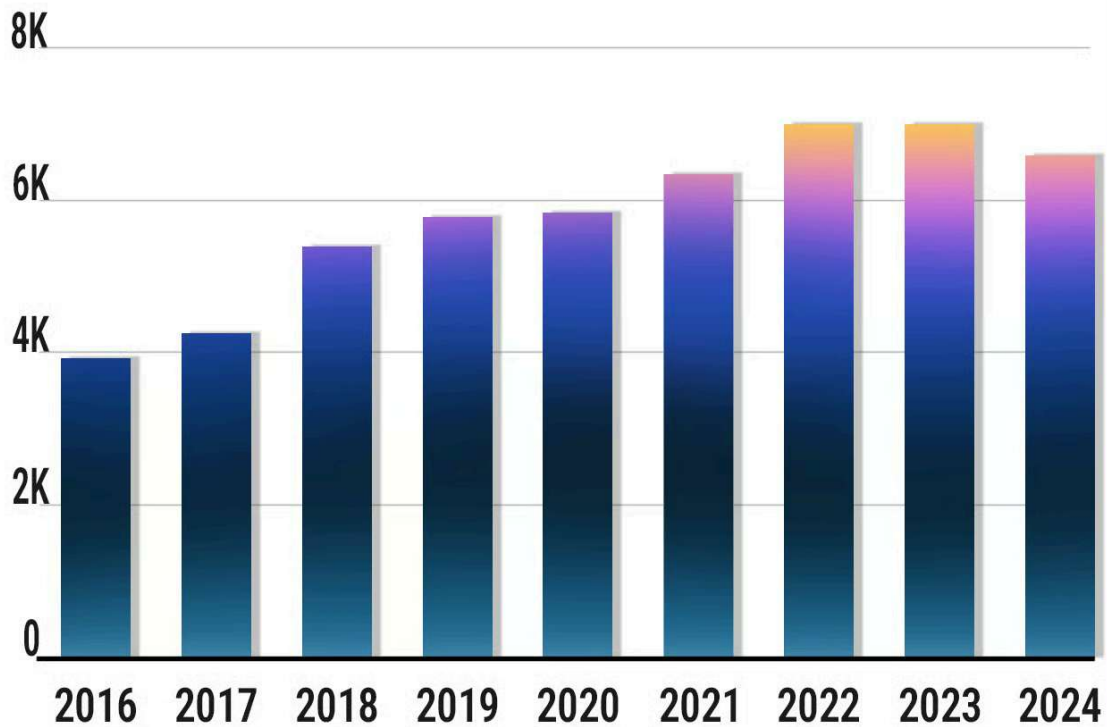
As demand for communication increases, so will its revenue.

However, 70% of global ports lack the infrastructure to support digital communication, which is where Crown Castle (CCI) comes in.

Crown Castle International will benefit as new ports are built and additional trade routes are discovered, as its towers focus on transmitting data over shorter distances.

Crown Castle Inc. (CCI)

(Revenues In \$Millions)



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Data [via](#) company reports

The company specializes in creating 5G towers, so that radios and phones can communicate more efficiently and is built for short ranges.

- Crown Castle operates 40,000 5G towers in the U.S. and over 114,000 smaller 5G towers across the world.

This makes it one of the largest owners of communication towers in the world and its specialization in 5G cell communications will grow alongside new port growth.

Crown Castle Inc. (CCI)

104.12
(-20.37%)

5 Year Price →



 Market Briefs Pro

Data [via](#) Yahoo! Finance

93% of Crown Castle is owned by institutional investors - its biggest investor, Vanguard, now owns 12.5% of the company's shares.

- It increased its ownership in Crown Castle by over 10.5% in Q4 in 2024 alone.

In short - Wall Street is planning to benefit from port demand not just from real estate, but through its infrastructure improvements as well.

Investors can also take advantage of this shift through communication specific ETFs, like the iShares U.S. Digital Infrastructure and Real Estate ETF (IDGT).

iShares U.S. Digital Infrastructure And Real Estate ETF (IDGT)

5 Year Price →

76.29
(+88.89%)



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Data [via](#) Yahoo! Finance

RISKS

How This Opportunity Could Shift

While investors may want to keep an eye on port growth, there are risks.

First, infrastructure projects take a long time - the Economic Strategy Group estimates that most projects take 3-15 years to complete on average.

- By the time these projects are complete, demand may have shifted, making them obsolete.

Tariffs can also come and go based on Presidential administrations.

When tariffs change again in the future, this ultimately will impact how ports and the surrounding real estate is used.

But George believes there's a larger risk when it comes to tariffs - economics:

"Are we trying to get into the products of creating jeans here in the United States or are we going to rely on Taiwan that can make it for \$4? I believe in bringing more jobs here into the United States, but I think [tariffs are] a strategy that's going to economically continue to hurt us."

Also keep in mind that Wall Street is investing heavily into these sectors because they want to see a return on their investment one day.

If returns are no longer strong, this could impact Wall Street's investment into ports and the real estate around them.

If a firm like BlackRock sells some of their investments in this area, it could negatively affect stock prices.

REVIEW

Wall Street And White House Goals

Wall Street is investing in the critical infrastructure companies that are building the next generation of ports and shipping routes.

This is largely in response to White House tariffs and goals for the Panama Canal.

Projected Regional Container Handling And Average Annual Growth, 2019-2024

(By Percentage %)

● 2019 ▲ Average Annual Growth (2019-2024) ● 2024



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Data via Baird Maritime

These things take time, but Wall Street was already ramping up investment in this area and general shipping and demand has increased over time.

Investors can benefit from this shift by investing in the Wall Street institutions shifting their spending, as well as the companies providing the vital supply chain infrastructure upgrades.



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